19. Income Taxes

Piedmont's income tax basis net income for the years ended December 31, 2011, 2010, and 2009, is calculated as follows (in thousands):

	2011	2010	2009
GAAP basis financial statement net income	**$ 225,041**	$ 120,379	$ 74,700
Increase (decrease) in net income resulting from:			
Depreciation and amortization expense for financial reporting purposes in excess of amounts for income tax purposes	**47,346**	29,892	43,172
Rental income accrued for income tax purposes less than amounts for financial reporting purposes	**(9,380)**	(528)	(624)
Net amortization of above/below-market lease intangibles for financial reporting purposes in excess of amounts for income tax purposes	**(6,605)**	(5,573)	(5,134)
Gain on disposal of property for financial reporting purposes in excess of amounts for income tax purposes	**(66,410)**	(9,254)	—
Taxable income of Piedmont Washington Properties, Inc., in excess of amount for financial reporting purposes	**4,515**	5,096	5,991
Other expenses for financial reporting purposes in excess of amounts for income tax purposes	**(2,072)**	9,570	44,077 [1]
Income tax basis net income, prior to dividends paid deduction	**$ 192,435**	$ 149,582	$ 162,182

[1] Includes approximately $35.1 million of recorded impairment loss on real estate assets for the year ended December 31, 2009.

For income tax purposes, dividends to common stockholders are characterized as ordinary income, capital gains, or as a return of a stockholder's invested capital. The composition of Piedmont's distributions per common share is presented below:

	2011	2010	2009
Ordinary income	**61%**	69%	81%
Capital gains	**27%**	—	—
Return of capital	**12%**	31%	19%
	100%	100%	100%

At December 31, 2011, the tax basis carrying value of Piedmont's total assets was approximately $4.3 billion.

Accrued interest and penalties related to uncertain tax positions are included in accounts payable, accrued expenses, and accrued capital expenditures in the accompanying consolidated balance sheets and represented approximately $6.7 million as of December 31, 2011 and 2010. Piedmont recorded no additional expense during the years ended December 31, 2011, 2010, and 2009, respectively, related to such positions. The tax years 2008 to 2011 remain open to examination by various federal and state taxing authorities.